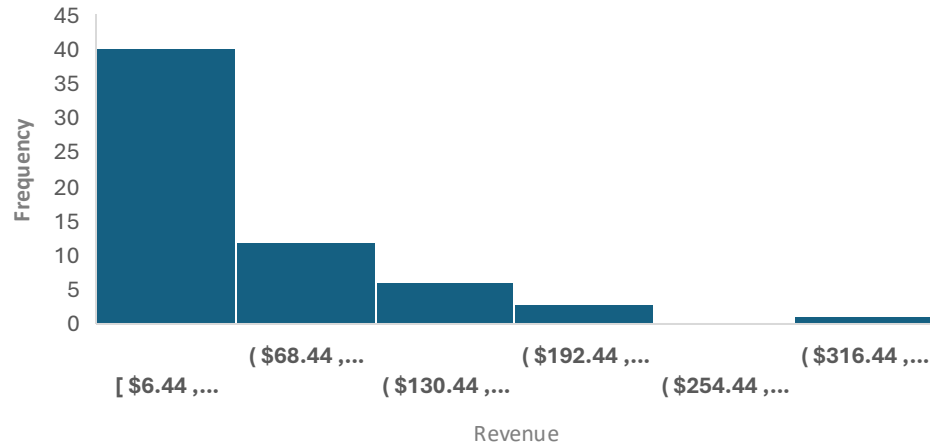


Were Companies in the Financials sector more profitable than those in Industrials sector from 2012 to 2016?

Revenue (\$bn) for companies in Industrials sector from 2012 to 2016



Total Revenue for Period:

Financials: \$3.4tn, Industrials: \$4.1tn

Here are the histograms for the total revenue for companies in Financials and Industrials sectors from 2012 to 2016.

The shape of both distributions is right-skewed as the mean is greater than the median.

Mean

Financials is \$83bn while Industrials is \$66bn (26% lower)

Median

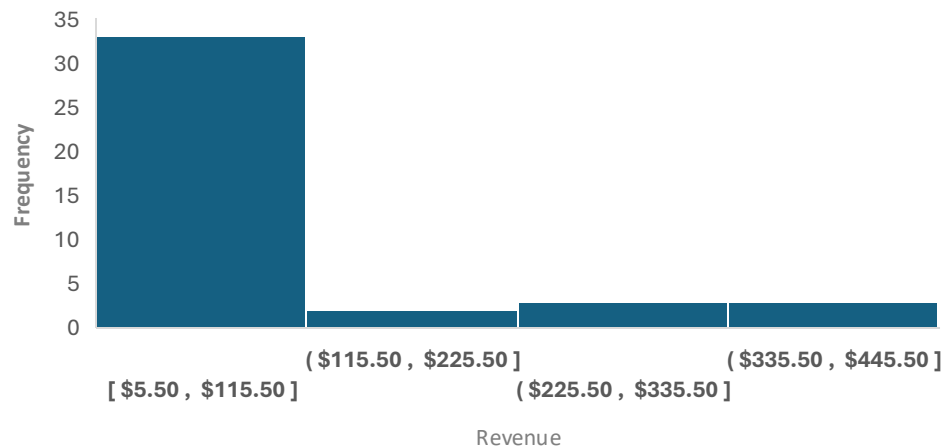
Financials is \$42bn while Industrials is \$41bn (2% lower)

Standard Deviation

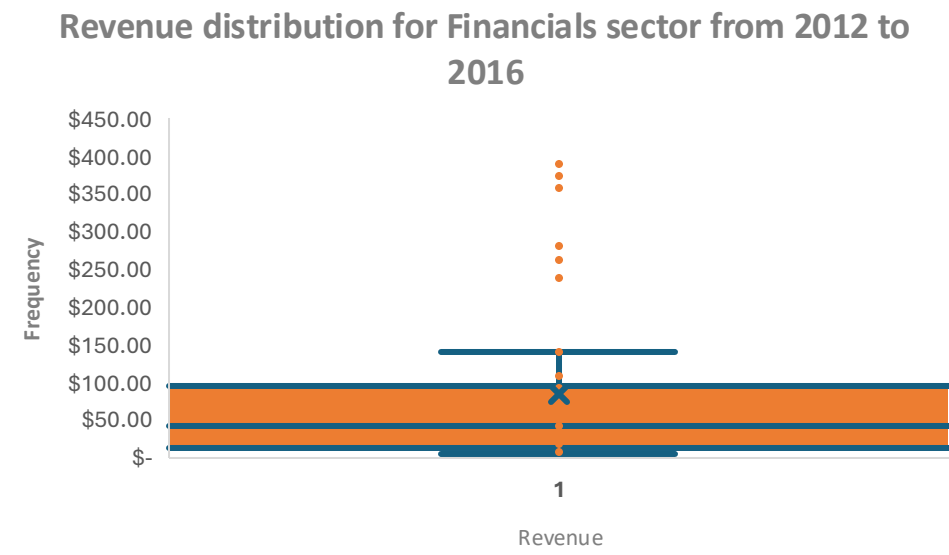
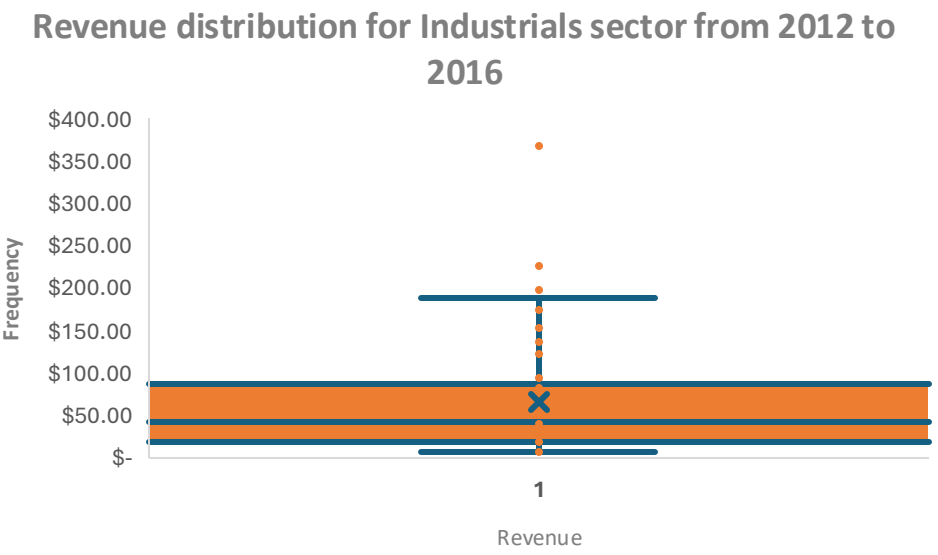
Financials is \$105bn while Industrials is \$70bn (150% lower)

The revenue distribution (next slide) shows that the variation between Financials and Industrials sectors is due to outliers.

Revenue (\$bn) for companies in Financials sector from 2012 to 2016

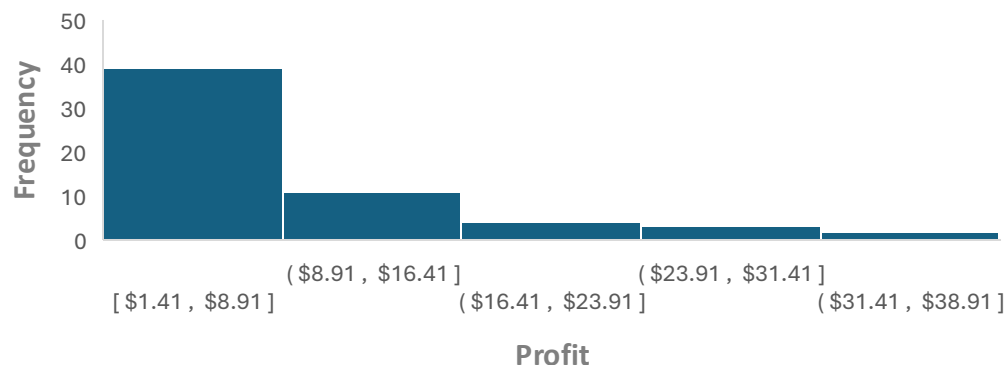


Revenue distribution comparison between Financials and Industrials sectors

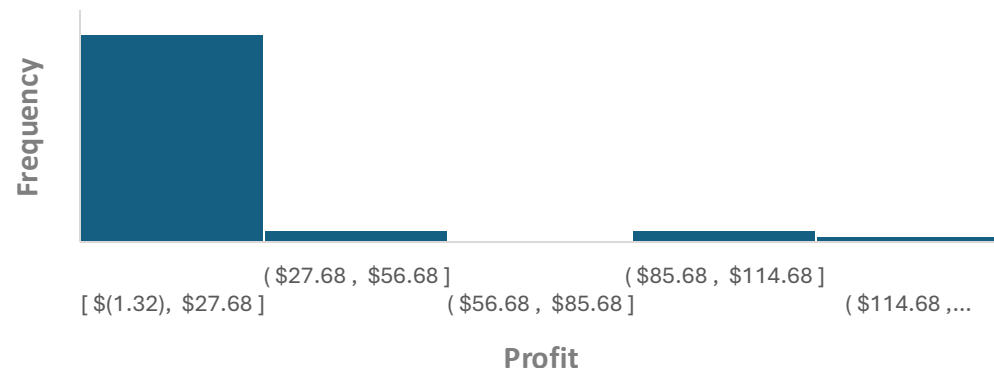


Were Companies in the Financials sector more profitable than those in Industrials sector from 2012 to 2016?

Operating Profit (\$bn) for companies in Industrials sector from 2012 to 2016



Operating Profit (\$bn) for companies in Financials sector from 2012 to 2016



Total Operating Profit for Period:
Financials: \$725b, Industrials: \$519b

Here are the histograms for the total operating profit for companies in Financials and Industrials sectors from 2012 to 2016.

The shape of both distributions is right-skewed as the mean is greater than the median.

Mean

Financials is \$18bn while Industrials is \$8bn (225% lower)

Median

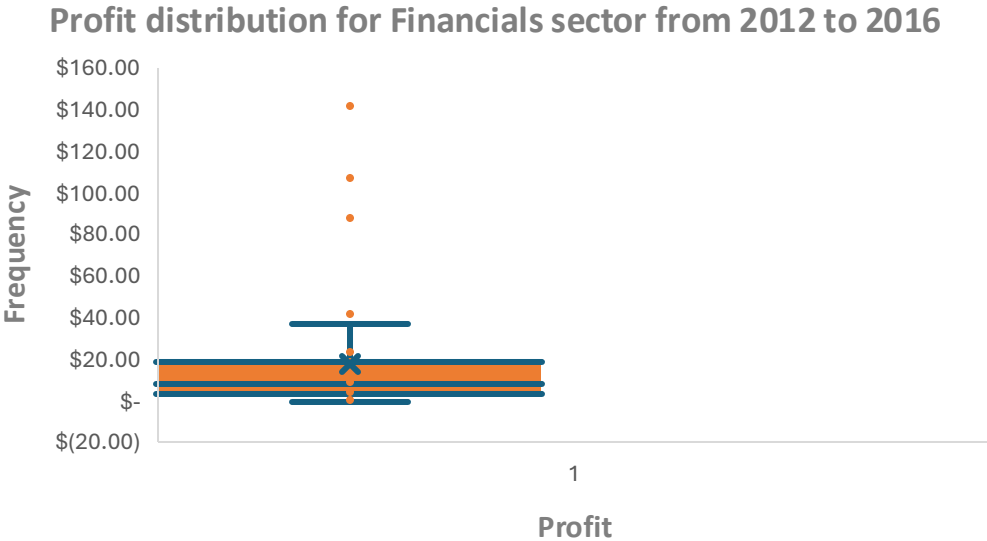
Financials is \$7.5bn while Industrials is \$4.2bn (78% lower)

Standard Deviation

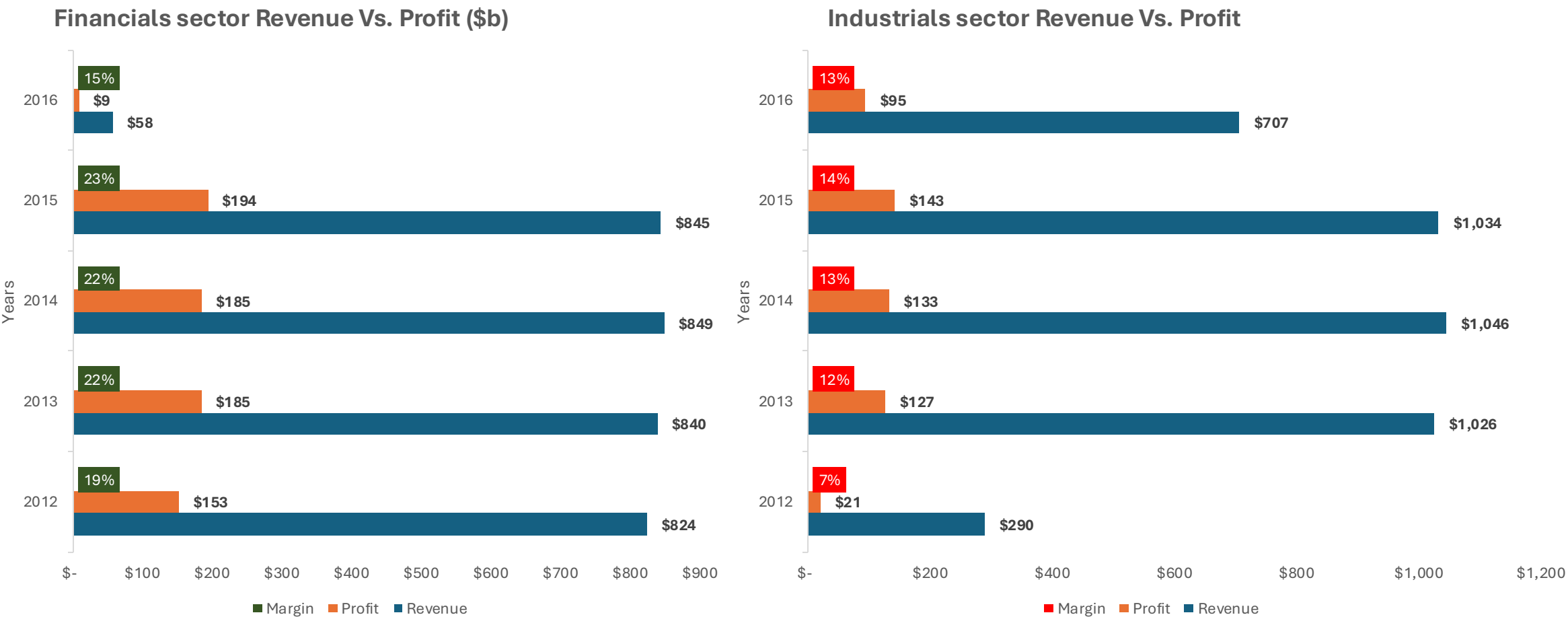
Financials is \$29bn while Industrials is \$8bn (360% lower)

The profit distribution (next slide) shows that the variation between Financials and Industrials sectors is due to outliers.

Profit distribution comparison between Financials and Industrials sectors



Were Companies in the Financials sector more profitable than those in Industrials sector from 2012 to 2016?



Financial sector had higher profit margins than Industrials sector across the years